9	Sales promotion A/c To Purchases A/c (Goods distributed as free samples)	Dr.		3,000	 3,000
10	Office expenses A/c To Purchases A/c (Goods used for office use)	Dr.		200	 200

Illustration 8

Bragathish is a trader dealing in electronic goods who commenced his business in 2015. For the following transactions took place in the month of March 2018, pass journal entries.

March		₹
1.	Purchased goods from Y and Co. on credit	60,000
2.	Sold goods to D and Co. on credit	30,000
3.	Paid Y and Co. through bank in full settlement	58,000
4.	D and Co. accepted a bill drawn by Bragathish	30,000
5.	Sold goods to L on credit	20,000
6.	Sold goods to M on credit	40,000
7.	Received a cheque from M in full settlement and deposited the same to the bank	39,000
8.	Goods returned to Y and Co.	4,000
9.	L became insolvent and only 90 paise per rupee is received by cash in final settlement	
10.	Goods returned by M	3,000

Solution

In the books of Bragathish
Journal entries

Date	Particulars		L.F.	Debit ₹	Credit ₹
2018 March 1	Purchases A/c To Y and Co. A/c (Goods purchased on credit)	Dr.		60,000	 60,000
2	D and Co. A/c To Sales A/c (Credit sales made to D and Co.)	Dr.		30,000	 30,000
3	Y and Co. A/c To Bank A/c To Discount received A/c (Payment made to Y and Co. and discount received)	Dr.		60,000	 58,000 2000
4	Bills Receivable A/c To D and Co. A/c (Bills received from D and Co.)	Dr.		30,000	 30,000
5	L A/c To Sales A/c (Goods sold on credit to L)	Dr.		20,000	 20,000

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